

PRACTICE PROBLEMS

1. An analyst developed two scenarios with respect to the recovery of USD100,000 principal from defaulted loans:

Scenario	Probability of Scenario (%)	Amount Recovered (USD)	Probability of Amount (%)
1	40	50,000	60
		30,000	40
2	60	80,000	90
		60,000	10

The amount of the expected recovery is *closest* to which of the following?

- A. USD36,400.
 - B. USD55,000.
 - C. USD63,600.
2. The probability distribution for a company's sales is:

Probability	Sales (USD, millions)
0.05	70
0.70	40
0.25	25

The standard deviation of sales is *closest* to which of the following?

- A. USD9.81 million.
- B. USD12.20 million.
- C. USD32.40 million.